

ABF substrate: progress toward a seller's market with a wider S/D gap driven by AI

Price Objective Change

Server CPU strength widens S/D gap again

We expect a more severe undersupply of 7%/14%/19% (was 4%/10%/16%) in 2026/27/28 for the ABF substrate industry (see Exhibit 4-8), as we note (see reports) [a further raised CPU TAM](#) whose benefits are also shared by [Ibiden](#). By application, we expect server CPU to account for 17%/21%/21% of ABF substrate demand in 2026/27/28, after we (see report) [raised the forecast](#) to 13%/14%/14% last time in June 2026. On the supply side, we tweak the projections and now expect 12%/22%/19% growth in 2026/27/28 (without considering the figures for EMIB-T by Ibiden in Gama plant given the different substrate structure), after baking in the capacity transfer by Unimicron and debottleneck by NYPCB. At industry level, we also learnt positives from AT&S' raised revenue/margin guidance for FY26/27, as well as the comments by (see report) [SEMCO](#). Re-it. Buy on Unimicron/NYPCB/Kinsus, in view of the robust EPS growth outlook aided by further price hike and margin improvement. Please refer to p.2 for the sections of NYPCB and the 2030 EPS power updates, which we introduced (see report) in [the industry report back in April 2026](#).

Unimicron: on track capacity addition & enhanced value

Unimicron is the most aggressive supplier to add the ABF substrate capacity (30+% each in 2027/28), which in our view will support its faster share gain amidst the S/D tightness in high-end area. We also note that projects with "high-value" (50+% GM) will likely account for 50+% revenue mix in the ABF substrate business in 2H26, while the company will also be more focused on selling the "value" to its customers, which incorporates the upfront R&D investment/effort for high-end products. We raise 2028E EPS by 21% after penciling in the assumptions of stronger revenue growth & GM, which also makes us lift P/E multiple to 35x (from 33x), and our PO goes to NT\$1,400 (from NT\$1,200) with unchanged valuation period of 2H27-1H28E.

Kinsus: AI CPU benefits, consigned capex & upside in BT

Kiinsus will benefit from rising revenue contribution from AI CPU/GPU, and ASIC projects (with 35+% GM), and specifically for AI CPU we expect ~15% revenue mix in 2027 (vs ~5% in 2026). Looking ahead we also expect its GM in ABF substrate business to reach 35-40%/40-45% in 2027/28, supported by 1) ~10% QoQ ASP hike throughout 2027; and 2) the funded equipment capex (by customers) of NT\$60-80bn with 7-8ppts GM boost from 2028. We also flag the upside from optical module with main customers including LITE/AAOI, which will likely account for 20% of its BT substrate revenue in 2027, thanks to the edge in finer L/S to address the spec migration from 800G to 1.6T/3.2T. We raise 2027/28E EPS by 12%/26% mainly reflecting the updated assumptions in pricing/GM, and our PO goes to NT\$1,250 (from NT\$1,070) same based on 35x 2H27-1H28E P/E.

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Refer to important disclosures on page 13 to 16. Analyst Certification on page 11. Price Objective Basis/Risk on page 10.

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Equity
Asia-Pacific
Tech Hardware

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3729
mike.c.yang@bofa.com

Masashi Kubota >>
Research Analyst
BofAS Japan
+81 3 6225 7138
masashi.kubota@bofa.com

Cathy Hsu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3726
cathy.hsu3@bofa.com

ABF – Ajinomoto build-up film

CPU – central processing unit

S/D – supply/demand

TAM – total addressable market

NYPCB – Nan Ya Printed Circuit Board

SEMCO – Samsung Electro-Mechanics

GM – gross margin

R&D – research/development

AI – artificial intelligence

CPU/GPU – central/graphic processing unit

ASIC – application specific integrated circuit

LITE – Lumentum

AAOI – Applied Optoelectronics

L/S – line/space

BT – bismaleimide triazine

Exhibit 1: Summary of PO change

We raise PO on three stocks in this report

Company	Ticker	PO (local currency)	
		New	Old
Unimicron	3037 TT	1400	1200
NYPCB	8046 TT	1700	1430
Kinsus	3189 TT	1250	1070

Source: BofA Global Research

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NYPGB: proxy for substrate price hikes & switch demand

NYPGB in our view will also benefit from the share gain in BT substrate, yet this is primarily due to the capacity transfer and/or gradual exit of the business by its industry peers. On ABF substrate side, we expect the firm to boast a sustainably dominant share (50+%) in high-end networking switch, thanks to the solid relationship with customers and limited competition. We raise 2026-28E EPS by 18-21% after reflecting the assumptions of stronger GM and operating leverage, and the company in our view is the prime beneficiary of price hikes, as we note its GM expanded by 890bps QoQ (vs 680/490bps by Unimicron/Kinsus) in 2Q26 which beats the BofAe/consensus by 330bps. Our PO goes to NT\$1,700 (from NT\$1,430) same based on 35x 2H27-1H28E P/E.

Strong 2030 EPS power suggested by scenario analysis

In Exhibit 9-16, we update our sensitivity analysis of 2030 EPS power for Unimicron/NYPGB/Kinsus. For both top-down and bottom-up approaches, we adopt conservative GM/opex assumptions for 2030 by having the numbers fixed at 4Q28/2028-level, which could surprise on the upside given a more complex substrate structure and potentially stronger operating leverage.

In top-down scenarios, we 1) fix the ASP (per mmsq) at US\$0.0008 which in our view is also conservative; and 2) have the variables being demand CAGR (10-30%) and market share (20-24%/6-10%/8-12% for Unimicron/NYPGB/Kinsus respectively), and the resulted 2030 net income upside (vs prior estimate for 2028) will be 39%/27%/96% for Unimicron/NYPGB/Kinsus respectively under the base case scenario. We also note the upside will become 80%/83%/155% for respective firms under the bull case scenario.

In bottom-up approach, we 1) fix the demand/shipment CAGR at 15% which in our view is conservative as well; and 2) have the variables being ASP CAGR (ranging at 5-25%), and these lead to 78%/71%/39% 2030 net income upside (vs prior estimate for 2028) for Unimicron/NYPGB/Kinsus respectively. We also note the upside will become 112%/101%/55% for respective names under the bull case scenario.

Exhibit 2: Summary of changes in PO and valuation method

We lift P/E multiple on Unimicron in this report

Company	Ticker	PO (local currency)		Valuation method	
		New	Old	New	Old
Unimicron	3037 TT	1400	1200	35x 2H27-1H28E P/E	33x 2H27-1H28E P/E
NYPGB	8046 TT	1700	1430	35x 2H27-1H28E P/E (unchanged)	
Kinsus	3189 TT	1250	1070	35x 2H27-1H28E P/E (unchanged)	

Source: BofA Global Research

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Exhibit 3: Table of recommendation

Stocks mentioned with ratings in this report

BofA ticker	Ticker	Company name	Price (LC)	Rating
UMCRF	3037 TT	Unimicron	NT\$ 1130	C-1-7
NANYF	8046 TT	NYPGB	NT\$ 1180	C-1-7
KNSUF	3189 TT	Kinsus	NT\$ 849	C-1-7

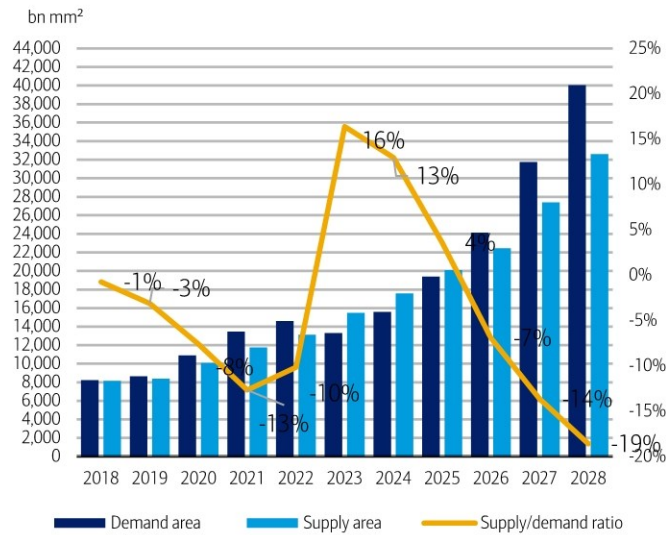
Source: BofA Global Research, company data

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ABF substrate industry S/D model update

Exhibit 4: ABF substrate supply/demand (new)

We now expect an undersupply of 7%/14%/19% in 2026/27/28

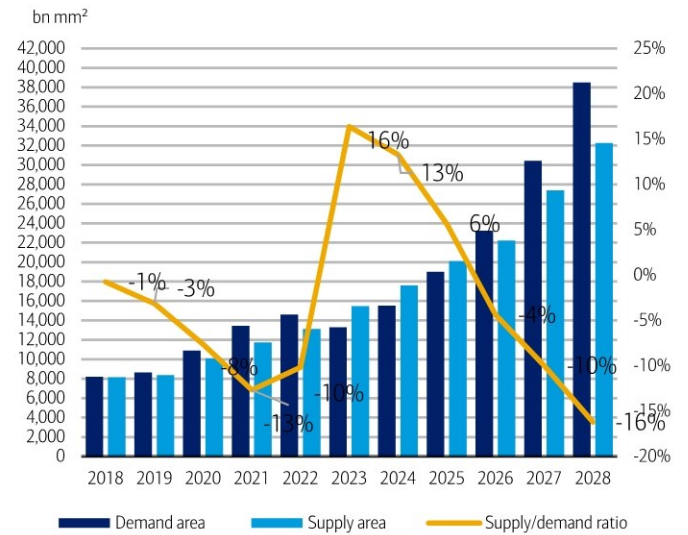


Source: BofA Global Research estimates, company data

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Exhibit 5: ABF substrate supply/demand (new)

Previously we expected an undersupply of 4%/10%/16% in 2026/27/28

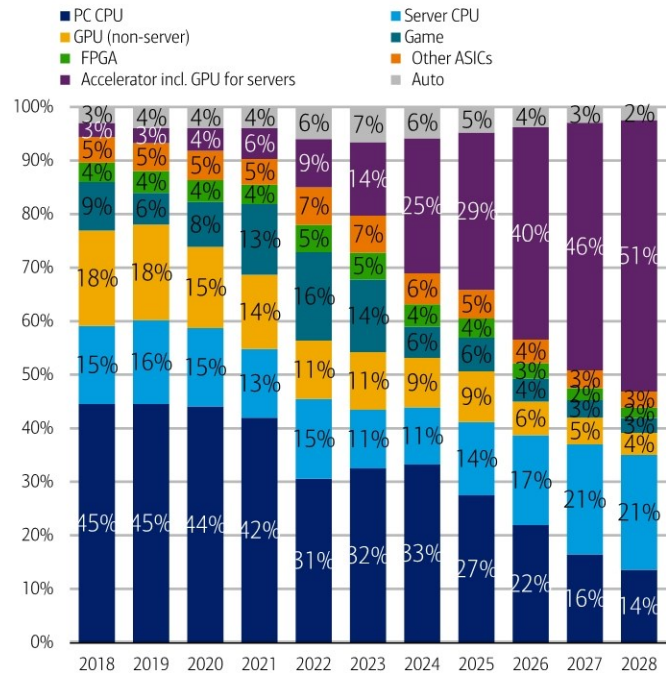


Source: BofA Global Research estimates, company data

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Exhibit 6: Demand mix of ABF substrate (new)

This time, we raise the demand mix forecast from server CPU further to 17%/21%/21% in 2026/27/28

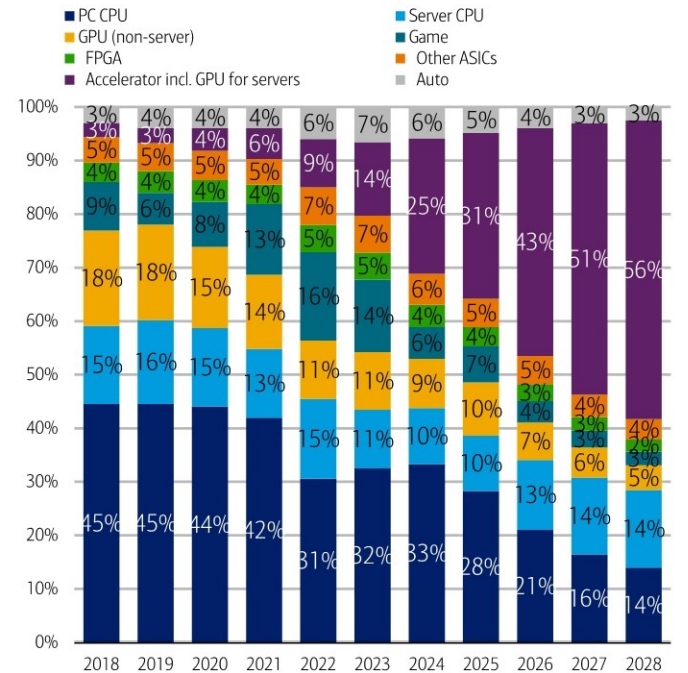


Source: BofA Global Research estimates, company data

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Exhibit 7: Demand mix of ABF substrate (old)

Previously we already raised the demand mix forecast from server CPU to 13%/14%/14% in 2026/27/28

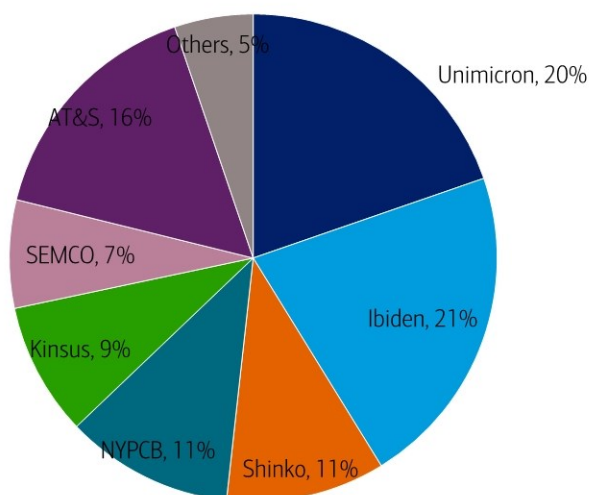


Source: BofA Global Research estimates, company data

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Exhibit 8: Supply (capacity) breakdown by suppliers, 2026E

Ibiden and Unimicron are the leaders in terms of capacity scale



Source: BofA Global Research estimates, company data

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Scenario analysis on 2030 EPS (top-down)

Exhibit 9: Scenario analysis on 2030 EPS - Unimicron

Base case/bull case EPS is NT\$67.0/NT\$86.6

Unimicron 2030 EPS		Total demand CAGR					
ASP at US\$0.0008			10%	15%	20%	25%	30%
market share	20%		50.48	55.46	60.65	66.07	71.70
	21%		53.16	58.38	63.83	69.52	75.44
	22%		55.83	61.30	67.02	72.97	79.17
	23%		58.51	64.23	70.20	76.43	82.91
	24%		61.18	67.15	73.38	79.88	86.64

Source: BofA Global Research estimates

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Exhibit 10: Implied 2030 EPS upside vs prior estimates of 2028 EPS for Unimicron

39%/80% EPS upside based on base/bull case scenarios

Unimicron 2030 net income upside % vs. 2028		Total demand CAGR					
ASP at US\$0.0008			10%	15%	20%	25%	30%
market share		20%	4.6%	14.9%	25.6%	36.8%	48.5%
		21%	10.1%	20.9%	32.2%	44.0%	56.3%
		22%	15.6%	27.0%	38.8%	51.2%	64.0%
		23%	21.2%	33.0%	45.4%	58.3%	71.7%
		24%	26.7%	39.1%	52.0%	65.5%	79.5%

Source: BofA Global Research estimates

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Exhibit 11: Scenario analysis on 2030 EPS - NYPCB

Base case/bull case EPS is NT\$64.0/NT\$92.0

NYPCB 2030 EPS		Total demand CAGR				
ASP at US\$0.0008		10%	15%	20%	25%	30%
	6%	41.72	45.25	48.92	52.76	56.75
	7%	48.04	52.15	56.44	60.91	65.57
	8%	54.35	59.05	63.95	69.06	74.38
	9%	60.66	65.95	71.46	77.21	83.20
	10%	66.98	72.85	78.98	85.37	92.02
market share						

Source: BofA Global Research estimates

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Exhibit 12: Implied 2030 EPS upside vs prior estimates of 2028 EPS for NYPCB

27%/83% EPS upside based on base/bull case scenarios

NYPCB 2030 net income upside % vs. 2028		Total demand CAGR				
ASP at US\$0.0008		10%	15%	20%	25%	30%
	6%	-17.2%	-10.2%	-2.9%	4.7%	12.7%
	7%	-4.6%	3.5%	12.0%	20.9%	30.2%
	8%	7.9%	17.2%	27.0%	37.1%	47.7%
	9%	20.4%	30.9%	41.9%	53.3%	65.2%
	10%	33.0%	44.6%	56.8%	69.5%	82.7%
market share						

Source: BofA Global Research estimates

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Exhibit 13: Scenario analysis on 2030 EPS - Kinsus

Base case/bull case EPS is NT\$74.3/NT\$97.0

Kinsus 2030 EPS		Total demand CAGR				
ASP at US\$0.0008		10%	15%	20%	25%	30%
	8%	56.14	59.61	63.24	67.01	70.94
	9%	60.81	64.71	68.79	73.04	77.46
	10%	65.47	69.81	74.34	79.06	83.97
	11%	70.14	74.91	79.89	85.08	90.49
	12%	74.80	80.00	85.44	91.10	97.00
market share						

Source: BofA Global Research estimates

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Exhibit 14: Implied 2030 EPS upside vs prior estimates of 2028 EPS for Kinsus

96%/155% EPS upside based on base/bull case scenarios

Kinsus 2030 net income upside % vs. 2028		Total demand CAGR				
ASP at US\$0.0008		10%	15%	20%	25%	30%
	8%	47.7%	56.9%	66.4%	76.3%	86.7%
	9%	60.0%	70.3%	81.0%	92.2%	103.8%
	10%	72.3%	83.7%	95.6%	108.0%	121.0%
	11%	84.6%	97.1%	110.2%	123.9%	138.1%
	12%	96.8%	110.5%	124.8%	139.7%	155.3%
market share						

Source: BofA Global Research estimates

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Scenario analysis on 2030 EPS (bottom-up)

Exhibit 15: Scenario analysis on 2030 EPS for Unimicron/NYPCB/Kinsus based on bottom-up approach

Base case EPS numbers are NT\$86.0/NT\$86.1/NT\$52.7 for Unimicron/NYPCB/Kinsus, while the bull case estimates are NT\$102.1/NT\$101.1/NT\$58.9

Shipment CAGR: 15%	ASP CAGR				
2030 EPS	5%	10%	15%	20%	25%
Unimicron	71.16	78.39	85.96	93.87	102.11
NYPCB	72.43	79.12	86.12	93.43	101.05
Kinsus	47.09	49.85	52.73	55.74	58.88

Source: BofA Global Research estimates

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Exhibit 16: Implied 2030 EPS upside vs prior estimate of 2028 EPS for major Taiwan substrate suppliers based on bottom-up approach

Implied EPS upside is 78%/71%/39% for Unimicron/NYPCB/Kinsus under base case scenario, and it will be 112%/101%/55% under the bull case

Shipment CAGR: 15%	ASP CAGR				
2030 net income upside % vs 2028	5%	10%	15%	20%	25%
Unimicron	47.4%	62.4%	78.1%	94.4%	111.5%
NYPCB	43.8%	57.1%	71.0%	85.5%	100.6%
Kinsus	23.9%	31.2%	38.8%	46.7%	54.9%

Source: BofA Global Research estimates

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Earnings estimates change by company

Exhibit 17: Earnings estimate change - Unimicron

We raise 2028E EPS by 21% after baking in the assumption of stronger revenue growth and GM

(NT\$m)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	188,122	188,093	0.0	266,337	265,345	0.4	376,002	333,843	12.6
Gross profit	47,910	47,902	0.0	88,961	88,486	0.5	149,767	127,150	17.8
Gross margin	25.5%	25.5%	0.0 ppt	33.4%	33.3%	0.1 ppt	39.8%	38.1%	1.7 ppt
Operating profit	31,866	31,858	0.0	71,116	70,650	0.7	128,688	106,417	20.9
Operating margin	16.9%	16.9%	0.0 ppt	26.7%	26.6%	0.1 ppt	34.2%	31.9%	2.3 ppt
Pretax income	40,660	40,652	0.0	72,569	72,103	0.6	130,241	107,970	20.6
Pretax margin	21.6%	21.6%	0.0 ppt	27.2%	27.2%	0.1 ppt	34.6%	32.3%	2.3 ppt
Net income	31,487	31,481	0.0	51,600	51,287	0.6	92,653	76,712	20.8
Net margin	16.7%	16.7%	0.0 ppt	19.4%	19.3%	0.0 ppt	24.6%	23.0%	1.7 ppt
EPS (NT\$)	19.82	19.81	0.0	32.47	32.28	0.6	58.31	48.28	20.8

Source: BofA Global Research estimates

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Exhibit 18: BofAe vs consensus - Unimicron

We are 9%/6% behind consensus for 2027/28E operating profits, partly given a more conservative assumption on operating leverage (higher opex)

(NT\$m)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	188,122	184,975	1.7	266,337	277,398	-4.0	376,002	383,627	-2.0
Gross profit	47,910	47,946	-0.1	88,961	100,207	-11.2	149,767	160,448	-6.7
Gross margin	25.5%	25.9%	-0.5 ppt	33.4%	36.1%	-2.7 ppt	39.8%	41.8%	-2.0 ppt
Operating profit	31,866	31,138	2.3	71,116	78,728	-9.7	128,688	137,324	-6.3
Operating margin	16.9%	16.8%	0.1 ppt	26.7%	28.4%	-1.7 ppt	34.2%	35.8%	-1.6 ppt
Pretax income	40,660	42,401	-4.1	72,569	80,896	-10.3	130,241	135,972	-4.2
Pretax margin	21.6%	22.9%	-1.3 ppt	27.2%	29.2%	-1.9 ppt	34.6%	35.4%	-0.8 ppt
Net income	31,487	34,238	-8.0	51,600	65,190	-20.8	92,653	112,125	-17.4
Net margin	16.7%	18.5%	-1.8 ppt	19.4%	23.5%	-4.1 ppt	24.6%	29.2%	-4.6 ppt
EPS (NT\$)	19.82	21.55	-8.0	32.47	41.03	-20.8	58.31	70.57	-17.4

Source: BofA Global Research estimates, Bloomberg

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Exhibit 19: Income statement - Unimicron

We expect the company's gross margin to reach 35-40% in 2027-28, along with 40+% revenue CAGR

(NT\$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	37,446	42,890	50,428	57,357	59,373	62,058	68,991	75,915	131,241	188,122	266,337	376,002
COGS	-30,720	-32,252	-36,802	-40,438	-41,560	-42,307	-45,386	-48,122	-112,949	-140,212	-177,375	-226,234
Gross Profit	6,726	10,638	13,627	16,919	17,812	19,751	23,605	27,793	18,292	47,910	88,961	149,767
Operating expenses	-3,969	-3,987	-4,026	-4,061	-4,114	-4,382	-4,592	-4,757	-11,618	-16,044	-17,845	-21,079
SG&A	-2,382	-2,130	-2,227	-2,292	-2,288	-2,386	-2,568	-2,635	-6,619	-9,032	-9,877	-11,321
R&D	-1,587	-1,857	-1,799	-1,769	-1,825	-1,997	-2,024	-2,123	-4,999	-7,012	-7,968	-9,758
Operating income	2,757	6,651	9,601	12,858	13,699	15,368	19,013	23,036	6,674	31,866	71,116	128,688
Non-operating income	3,542	8,925	-4,137	463	1,413	1,413	-687	-687	2,153	8,794	1,453	1,553
Interest income	-319	-319	-319	-319	-319	-319	-319	-319	-1,287	-1,274	-1,274	-1,274
Investment income	-10	9,150	-4,600	0	0	0	0	0	-50	4,540	0	0
Others	3,870	94	782	782	1,732	1,732	-368	-368	3,489	5,527	2,727	2,827
Pre-tax profit	6,299	15,576	5,464	13,321	15,112	16,782	18,326	22,349	8,827	40,660	72,569	130,241
Tax	-918	-2,234	-1,093	-2,664	-2,267	-3,021	-4,032	-5,364	-1,277	-6,909	-14,683	-26,316
Net income	5,043	13,115	3,896	9,433	11,595	12,373	12,699	14,932	6,673	31,487	51,600	92,653
EPS (NT\$)	3.28	8.53	2.45	5.94	7.30	7.79	7.99	9.40	4.38	19.82	32.47	58.31

Margin

Gross margin	18.0%	24.8%	27.0%	29.5%	30.0%	31.8%	34.2%	36.6%	13.9%	25.5%	33.4%	39.8%
Operating margin	7.4%	15.5%	19.0%	22.4%	23.1%	24.8%	27.6%	30.3%	5.1%	16.9%	26.7%	34.2%
Pre-tax margin	16.8%	36.3%	10.8%	23.2%	25.5%	27.0%	26.6%	29.4%	6.7%	21.6%	27.2%	34.6%
Net margin	13.5%	30.6%	7.7%	16.4%	19.5%	19.9%	18.4%	19.7%	5.1%	16.7%	19.4%	24.6%

QoQ growth

Revenue	7.9%	14.5%	17.6%	13.7%	3.5%	4.5%	11.2%	10.0%
Gross profit	22.9%	58.2%	28.1%	24.2%	5.3%	10.9%	19.5%	17.7%
Operating profit	16.5%	141.3%	44.4%	33.9%	6.5%	12.2%	23.7%	21.2%
Pre-tax profit	51.8%	147.3%	-64.9%	143.8%	13.4%	11.0%	9.2%	22.0%
Net profit	42.7%	160.1%	-70.3%	142.1%	22.9%	6.7%	2.6%	17.6%

YoY growth

Revenue	24.5%	32.1%	48.3%	65.3%	58.6%	44.7%	36.8%	32.4%	13.8%	43.3%	41.6%	41.2%
Gross profit	67.1%	150.6%	199.6%	209.2%	164.8%	85.7%	73.2%	64.3%	12.1%	161.9%	85.7%	68.4%
Operating profit	117.6%	340.6%	526.5%	443.5%	396.9%	131.1%	98.0%	79.2%	30.4%	377.4%	123.2%	81.0%
Pre-tax profit	358.6%	4266.1%	85.4%	221.0%	139.9%	7.7%	235.4%	67.8%	20.6%	360.6%	78.5%	79.5%
Net profit	451.4%	44196.8%	77.5%	166.9%	129.9%	-5.7%	226.0%	58.3%	31.3%	371.8%	63.9%	79.6%

Source: BofA Global Research estimates, company data

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Exhibit 20: Earnings estimate change - NYPCB

We raise 2026/28E EPS by 18-21% after baking in the assumptions of stronger GM

(NT\$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	59,349	58,172	2.0	86,962	84,319	3.1	117,347	113,959	3.0
Gross profit	16,150	13,387	20.6	31,739	24,956	27.2	48,430	38,733	25.0
Gross margin	27.2%	23.0%	4.2 ppt	36.5%	29.6%	6.9 ppt	41.3%	34.0%	7.3 ppt
Operating profit	14,360	11,647	23.3	29,833	23,118	29.0	46,437	36,817	26.1
Operating margin	24.2%	20.0%	4.2 ppt	34.3%	27.4%	6.9 ppt	39.6%	32.3%	7.3 ppt
Pretax income	15,083	12,581	19.9	30,535	24,888	22.7	47,124	38,774	21.5
Pretax margin	25.4%	21.6%	3.8 ppt	35.1%	29.5%	5.6 ppt	40.2%	34.0%	6.1 ppt
Net income	12,293	10,341	18.9	25,071	20,813	20.5	38,459	32,549	18.2
Net margin	20.7%	17.8%	2.9 ppt	28.8%	24.7%	4.1 ppt	32.8%	28.6%	4.2 ppt
EPS (NT\$)	19.02	16.00	18.9	38.80	32.21	20.5	59.52	50.37	18.2

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 21: BofAe vs consensus - NYPCB

We are 15%/29% behind consensus for 2027/28E EPS, mainly due to more conservative assumptions on revenue growth

(NT\$m)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	59,349	59,361	0.0	86,962	102,641	-15.3	117,347	150,845	-22.2
Gross profit	16,150	15,504	4.2	31,739	39,395	-19.4	48,430	69,122	-29.9
Gross margin	27.2%	26.1%	1.1 ppt	36.5%	38.4%	-1.9 ppt	41.3%	45.8%	-4.6 ppt
Operating profit	14,360	13,753	4.4	29,833	38,511	-22.5	46,437	66,377	-30.0
Operating margin	24.2%	23.2%	1.0 ppt	34.3%	37.5%	-3.2 ppt	39.6%	44.0%	-4.4 ppt
Pretax income	15,083	14,382	4.9	30,535	36,124	-15.5	47,124	67,011	-29.7
Pretax margin	25.4%	24.2%	1.2 ppt	35.1%	35.2%	-0.1 ppt	40.2%	44.4%	-4.3 ppt
Net income	12,293	11,538	6.5	25,071	29,651	-15.4	38,459	54,116	-28.9
Net margin	20.7%	19.4%	1.3 ppt	28.8%	28.9%	-0.1 ppt	32.8%	35.9%	-3.1 ppt
EPS (NT\$)	19.02	17.86	6.5	38.80	45.89	-15.4	59.52	83.75	-28.9

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 22: Income statement - NYPCB

We expect the company to record ~40% revenue CAGR during 2026-28, along with 35-40% GM in 2027-28

(NT\$m)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	11,177	13,575	16,643	17,953	18,448	20,825	22,916	24,773	40,173	59,349	86,962	117,347
COGS	-9,406	-10,215	-11,619	-11,959	-12,305	-13,499	-14,378	-15,041	-36,526	-43,199	-55,224	-68,918
Gross Profit	1,771	3,360	5,024	5,994	6,143	7,327	8,537	9,732	3,647	16,150	31,739	48,430
Operating expenses	-419	-461	-444	-466	-453	-508	-464	-481	-1,665	-1,790	-1,906	-1,993
SG&A	-419	-461	-444	-466	-453	-508	-464	-481	-1,665	-1,790	-1,906	-1,993
R&D	0	0	0	0	0	0	0	0	0	0	0	0
Operating income	1,352	2,899	4,580	5,529	5,690	6,819	8,073	9,251	1,982	14,360	29,833	46,437
Non-operating income	246	77	200	200	176	175	175	175	363	723	702	687
Interest income	37	36	36	36	33	32	32	32	158	145	128	113
Investment income	13	13	13	13	13	13	13	13	18	51	51	51
Others	196	29	151	151	131	131	131	131	187	527	523	523
Pre-tax profit	1,598	2,976	4,780	5,728	5,866	6,994	8,248	9,427	2,346	15,083	30,535	47,124
Tax	-290	-714	-813	-974	-880	-1,049	-1,650	-1,885	-399	-2,790	-5,464	-8,664
Net income	1,309	2,262	3,967	4,754	4,986	5,945	6,599	7,541	1,947	12,293	25,071	38,459
EPS (NT\$)	2.03	3.50	6.14	7.36	7.72	9.20	10.21	11.67	3.01	19.02	38.80	59.52
Margin												
Gross margin	15.8%	24.8%	30.2%	33.4%	33.3%	35.2%	37.3%	39.3%	9.1%	27.2%	36.5%	41.3%
Operating margin	12.1%	21.4%	27.5%	30.8%	30.8%	32.7%	35.2%	37.3%	4.9%	24.2%	34.3%	39.6%
Pre-tax margin	14.3%	21.9%	28.7%	31.9%	31.8%	33.6%	36.0%	38.1%	5.8%	25.4%	35.1%	40.2%
Net margin	11.7%	16.7%	23.8%	26.5%	27.0%	28.5%	28.8%	30.4%	4.8%	20.7%	28.8%	32.8%
QoQ growth												
Revenue	0.1%	21.5%	22.6%	7.9%	2.8%	12.9%	10.0%	8.1%				
Gross profit	26.7%	89.7%	49.5%	19.3%	2.5%	19.3%	16.5%	14.0%				
Operating profit	40.4%	114.4%	58.0%	20.7%	2.9%	19.8%	18.4%	14.6%				
Pre-tax profit	13.4%	86.2%	60.6%	19.8%	2.4%	19.2%	17.9%	14.3%				
Net profit	8.9%	72.9%	75.4%	19.8%	4.9%	19.2%	11.0%	14.3%				
YoY growth												
Revenue	32.1%	41.7%	51.8%	60.8%	65.1%	53.4%	37.7%	38.0%	24.4%	47.7%	46.5%	34.9%
Gross profit	311.7%	337.1%	378.6%	328.7%	246.8%	118.0%	69.9%	62.4%	919.6%	342.8%	96.5%	52.6%
Operating profit	3986.4%	691.9%	638.4%	474.1%	320.8%	135.2%	76.3%	67.3%	n.a.	624.4%	107.7%	55.7%
Pre-tax profit	524.0%	n.a.	427.0%	306.6%	267.1%	135.0%	72.6%	64.6%	1338.4%	543.1%	102.4%	54.3%
Net profit	530.7%	n.a.	447.3%	295.6%	281.0%	162.8%	66.3%	58.6%	855.6%	531.4%	104.0%	53.4%

Source: BofA Global Research estimates, company data

BofA GLOBAL RESEARCH



Exhibit 23: Earnings estimate change - Kinsus

We raise 2027/28E EPS by 12%/25% after baking in the assumptions of stronger revenue growth, GM, and operating leverage

(NT\$mn)	BofA 26 (E)			BofA 27 (E)			BofA 28 (E)		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Total sales	52,495	53,814	-2.5	77,520	71,506	8.4	108,635	93,356	16.4
Gross profit	13,891	13,868	0.2	25,447	22,130	15.0	40,226	31,804	26.5
Gross margin	26.5%	25.8%	0.7 ppt	32.8%	30.9%	1.9 ppt	37.0%	34.1%	3.0 ppt
Operating profit	7,240	7,342	-1.4	17,149	15,017	14.2	30,672	24,263	26.4
Operating margin	13.8%	13.6%	0.1 ppt	22.1%	21.0%	1.1 ppt	28.2%	26.0%	2.2 ppt
Pretax income	7,786	7,816	-0.4	17,483	15,525	12.6	31,005	24,771	25.2
Pretax margin	14.8%	14.5%	0.3 ppt	22.6%	21.7%	0.8 ppt	28.5%	26.5%	2.0 ppt
Net income	5,379	5,370	0.2	13,670	12,207	12.0	25,195	20,024	25.8
Net margin	10.2%	10.0%	0.3 ppt	17.6%	17.1%	0.6 ppt	23.2%	21.4%	1.7 ppt
EPS (NT\$)	10.21	10.22	-0.1	25.94	23.24	11.6	47.82	38.12	25.4

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 24: BofAe vs consensus - Kinsus

We are 6% ahead of consensus for 2027/28E EPS, given the assumption of stronger operating leverage

(NT\$mn)	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Total sales	52,495	53,240	-1.4	77,520	79,776	-2.8	108,635	116,711	-6.9
Gross profit	13,891	14,069	-1.3	25,447	25,715	-1.0	40,226	43,208	-6.9
Gross margin	26.5%	26.4%	0.0 ppt	32.8%	32.2%	0.6 ppt	37.0%	37.0%	0.0 ppt
Operating profit	7,240	7,379	-1.9	17,149	16,415	4.5	30,672	29,239	4.9
Operating margin	13.8%	13.9%	-0.1 ppt	22.1%	20.6%	1.5 ppt	28.2%	25.1%	3.2 ppt
Pretax income	7,786	7,665	1.6	17,483	16,682	4.8	31,005	29,481	5.2
Pretax margin	14.8%	14.4%	0.4 ppt	22.6%	20.9%	1.6 ppt	28.5%	25.3%	3.3 ppt
Net income	5,379	5,384	-0.1	13,670	12,957	5.5	25,195	23,777	6.0
Net margin	10.2%	10.1%	0.1 ppt	17.6%	16.2%	1.4 ppt	23.2%	20.4%	2.8 ppt
EPS (NT\$)	10.21	10.22	-0.1	25.94	24.59	5.5	47.82	45.13	6.0

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 25: Income statement - Kinsus

We expect the firm's gross margin to reach 30+%/35% in 2027/28, along with 40+% revenue CAGR

(NT\$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	11,105	12,496	13,741	15,154	15,946	18,201	20,651	22,722	39,351	52,495	77,520	108,635
COGS	-8,755	-9,235	-9,900	-10,713	-11,121	-12,356	-13,732	-14,864	-31,037	-38,603	-52,073	-68,408
Gross Profit	2,349	3,261	3,841	4,441	4,825	5,844	6,919	7,859	8,314	13,891	25,447	40,226
Operating expenses	-1,459	-1,581	-1,721	-1,890	-1,858	-2,017	-2,142	-2,281	-5,645	-6,651	-8,298	-9,555
SG&A	-886	-933	-986	-1,050	-1,085	-1,173	-1,223	-1,316	-3,035	-3,855	-4,797	-5,736
R&D	-573	-649	-735	-839	-774	-843	-919	-965	-2,610	-2,797	-3,502	-3,819
Operating income	891	1,679	2,120	2,551	2,967	3,827	4,777	5,578	2,670	7,240	17,149	30,672
Non-operating income	74	105	183	183	253	253	-87	-87	417	546	334	334
Interest income	-13	-13	-13	-13	-13	-13	-13	-13	-4	-50	-50	-50
Investment income	6	6	6	6	6	6	6	6	18	23	23	23
Others	81	112	190	190	260	260	-80	-80	404	573	361	361
Pre-tax profit	964	1,784	2,303	2,734	3,220	4,081	4,691	5,491	3,087	7,786	17,483	31,005
Tax	-89	-204	-369	-437	-354	-653	-750	-879	-370	-1,099	-2,636	-4,544
Net income	1,171	2,701	2,261	2,565	3,232	3,776	5,248	4,897	1,596	5,379	13,670	25,195
EPS (NT\$)	1.17	2.49	2.98	3.70	4.90	6.04	6.87	8.14	3.51	10.21	25.94	47.82
Margin												
Gross margin	21.2%	26.1%	28.0%	29.3%	30.3%	32.1%	33.5%	34.6%	21.1%	26.5%	32.8%	37.0%
Operating margin	8.0%	13.4%	15.4%	16.8%	18.6%	21.0%	23.1%	24.5%	6.8%	13.8%	22.1%	28.2%
Pre-tax margin	8.7%	14.3%	16.8%	18.0%	20.2%	22.4%	22.7%	24.2%	7.8%	14.8%	22.6%	28.5%
Net margin	10.5%	21.6%	16.5%	16.9%	20.3%	20.7%	25.4%	21.6%	4.1%	10.2%	17.6%	23.2%
QoQ growth												
Revenue	2.7%	12.5%	10.0%	10.3%	5.2%	14.1%	13.5%	10.0%				
Gross profit	-1.8%	38.8%	17.8%	15.6%	8.7%	21.1%	18.4%	13.6%				
Operating profit	-3.3%	88.5%	26.2%	20.3%	16.3%	29.0%	24.8%	16.8%				
Pre-tax profit	-8.6%	85.0%	29.1%	18.7%	17.8%	26.7%	14.9%	17.1%				
Net profit	-3.3%	130.6%	-16.3%	13.4%	26.0%	16.8%	39.0%	-6.7%				
YoY growth												
Revenue	28.8%	30.7%	32.7%	40.2%	43.6%	45.7%	50.3%	49.9%	28.9%	33.4%	47.7%	40.1%
Gross profit	21.0%	61.8%	95.6%	85.5%	105.4%	79.2%	80.1%	77.0%	-4.1%	67.1%	83.2%	58.1%
Operating profit	77.7%	170.8%	237.6%	177.0%	233.1%	127.9%	125.3%	118.7%	143.7%	171.2%	136.9%	78.9%
Pre-tax profit	37.8%	188.0%	223.1%	159.1%	233.9%	128.8%	103.6%	100.8%	92.6%	152.2%	124.5%	77.3%
Net profit	-38.2%	203.3%	172.7%	111.8%	175.9%	39.8%	132.1%	90.9%	3164.4%	237.0%	154.2%	84.3%

Source: BofA Global Research estimates, company data

BofA GLOBAL RESEARCH

Price objective basis & risk

Kinsus (KNSUF)

We set our PO at NT\$1,250 based on 35x 2H27-1H28E P/E, which is at mid-to-high-end level in its historical trading range (8-40x) since 2013. In our view, the multiple is backed by ROE and operating margin recovery to 35% and 25% in 2027-28E (vs 9% and 10% in 2025-26E).

Upside risks to our PO are (1) tighter ABF supply, (2) increasing adoption of SiP and AiP, (3) lower competition pressure and (4) slow development of alternative technology.

Downside risks are (1) greater ABF expansion from peers, (2) muted SiP/AiP adoption, (3) more severe competition, and (4) unfavorable technology development.

NYP CB (NANYF)

Our PO of NT\$1,700 is based on 35x 2H27-1H28E P/E, which in our view, the multiple backed by ROE and operating margin expansion to 37% and 37% in 2027-28E (vs 13% and 29% in 2025-26E).

Upside risks to our PO are (1) tighter ABF supply, (2) higher SiP/AiP adoption, and (3) less intensified competition pressure in PCB business.

Downside risks are (1) greater ABF expansion from peers, (2) muted SiP/AiP adoption, and (3) more severe competition in PCB business.

Unimicron (UMCRF)

Our PO of NT\$1,400 is based on 35x 2H27-1H28E, which is roughly 1x standard deviation above the historical average of 20x since 2017. In our view, the multiple is appropriate as we expect Unimicron earnings to be supported by its high-end technology offerings, where end market demand seems more resilient.

Upside risks are (1) tighter ABF supply, (2) greater PC and regular server demand, and (3) lower competition pressure.

Downside risks are (1) greater ABF expansion from peers, (2) lower ASP content increase at AI server, and (3) bigger drop in the demand of consumer electronic products.

Analyst Certification

I, Mike Yang, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong lemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XD SXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHN NF	HANA TB	Suppamong lemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LN VGF	992 HK	Robert Cheng
	Lenovo Group	LN VGY	LN VGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XNEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng



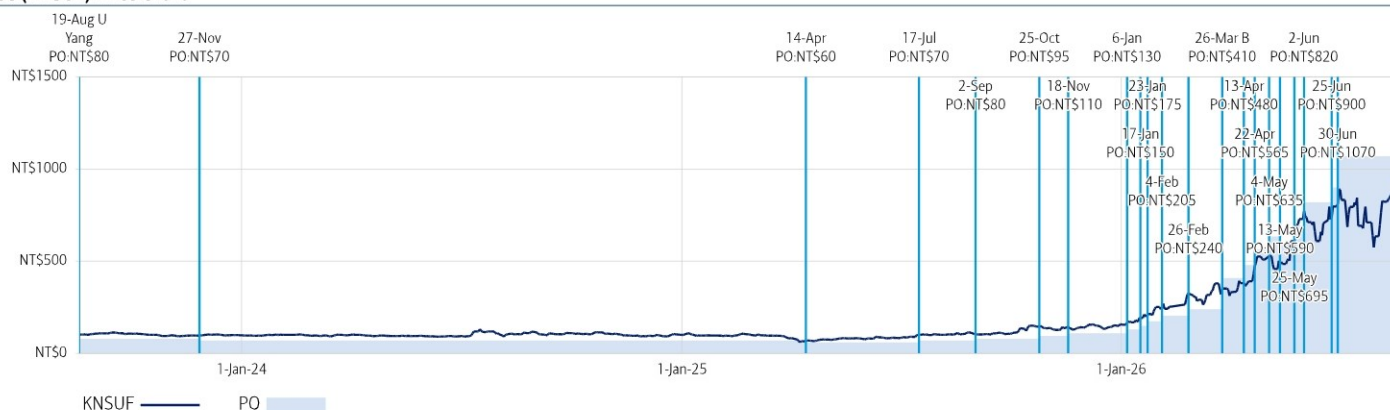
APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

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Important Disclosures

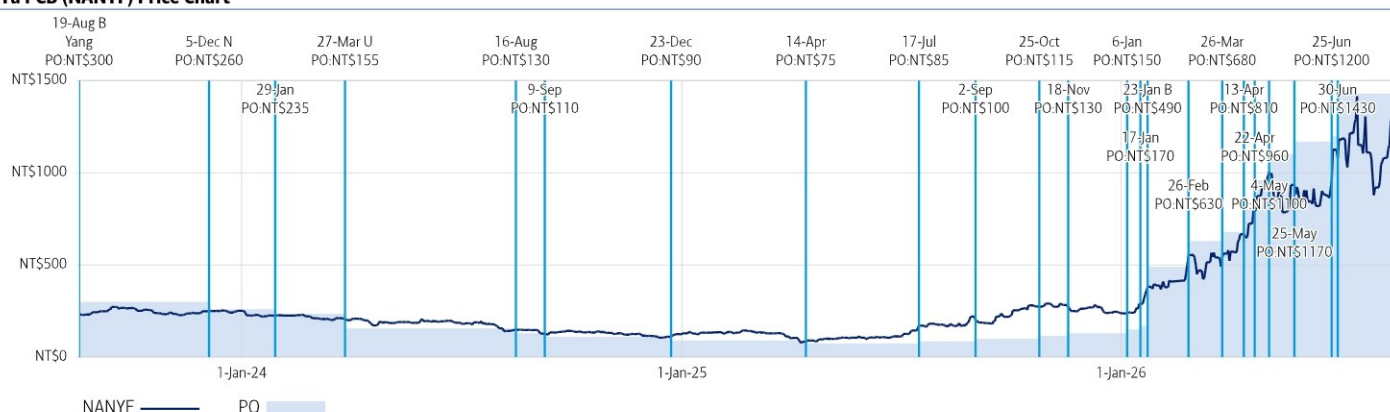
Kinsus (KNSUF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

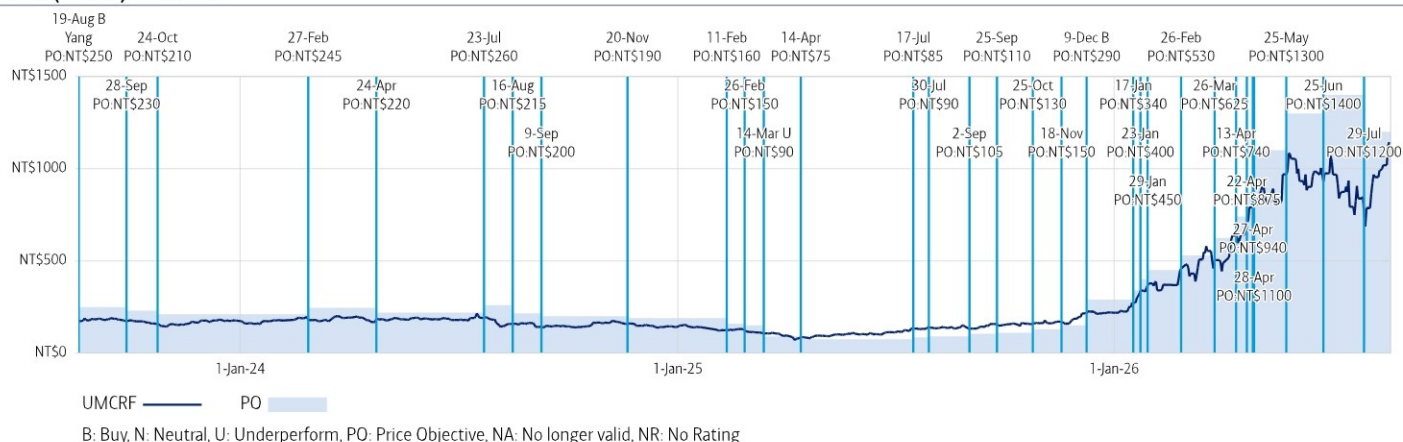
Nan Ya PCB (NANYF) Price Chart



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Unimicron (UMCRF) Price Chart



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Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
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Underperform	N/A	≥ 20%

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